Executives
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Gary Prince - Former Deputy President of BBU
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board

Analysts
Alan Alanis - Research Analyst
José Juan Yordán - Research Analyst
Miguel Mayorga -
Nikolaj Lippmann - Equity Analyst
Robert Erick Ford Aguilar - Managing Director in Equity Research
Unknown Analyst -

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's First Quarter 2012 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com/ir. Before we begin, I would like to remind you that this call is being recorded, and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties and actual results may differ materially. Please refer to the detailed notes in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Dan Servitje, Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Well, good morning, everyone, and thank you for joining us this morning. Today, we have on the call Gary Prince; and Steve Mollic [ph], President and CFO of BBU respectively, as well as our finance folks. As usual, we will begin with a review of developments and performance in the quarter, and then we will be happy to take your questions at the end.

First, as you may have noted, we began reporting under IFRS, and the prior period restated accordingly. There are some impacts resulting from this change, and we have Guillermo Quiroz, Grupo Bimbo's CFO, to answer any specific questions you may have.

In terms of our performance this quarter, results were decidedly mixed, with very strong volume growth in Mexico and Latin America on one hand, and on the other, tighter margins that we were used to in the United States and given the importance of this operation at the consolidated level as well. Keep in mind that 2012 is a transition year for BBU as we execute on our comprehensive integration plan of Sara Lee.

Looking at performance by region, in Mexico, we had a fairly healthy sales growth of almost 14%, stronger volumes across the portfolio and higher average prices that indicate a solid recovery underway

in our domestic market. I also want to point out that at the beginning of the year, we outsourced our compound chocolate production, mainly to the Swiss company Barry Callebaut, as part of our efforts to focus on the core business lines and sales have not suffered as a result.

Highlights from the period include our performance in the cookies, sweet baked goods and tortilla categories and the successful product transformation within the Barcel portfolio whereby we reduced 40% of our saturated fats in our products without compromising taste.

From a profitability perspective, we were able to offset the impact of higher input costs and weaker peso, with better absorption of fixed costs at the operating level, as well as greater distribution efficiencies that helped limit margin contraction in the quarter.

In the United States, sales rose more than 52% over last year, with the majority of that attributable to the integration of the Sara Lee operations. We did see some organic growth which was driven by favorable FX rates and pricing initiatives over the past 12 months. Volumes in general are still weaker than in a year-ago period but the rate of decline has slowed compared to the 2011 average. But we're continuing to see positive momentum in certain categories, such as sweet baked goods and English muffins.

Additionally, we have started to roll out Sara Lee bread and buns in the northeastern region. That said, higher raw material costs combined with a higher post integration cost structure impacted gross margin this quarter. In addition, there was expected dilution in the operating margin which reflected integration-related expenses of about $12 million coming from the closure of 4 plants across the country as part of our asset strategy with other onetime costs related to streamlining the sales and marketing in the administration and procurement areas. We have also begun construction of a new plant near Dallas, Texas and continue to make investments in expanding the distribution network.

On the integration process specifically, we're moving forward on all fronts. Our #1 priority has been the IT integration, with 3 additional focus areas for this year. These are leadership and the structure is already in place at all levels; sales growth, which will come from national and local customer alignment, as well as region-specific strategies; and productivity in synergy execution, which covers the synergies we have originally identified, as well as other cost-cutting opportunities of executing the manufacturing asset strategy. I should also point out that we're looking to complete the required divestitures before the end of this year.

Moving on to Latin America. We had an extraordinary revenue growth of 38% this quarter, about 2/3 of which was attributable to organic performance, reflecting higher volumes and some support from pricing initiatives. Integration of Fargo in Argentina further strengthened our performance in the region. The significant 4.8 percentage points expansion in the gross margin is attributable to better absorption of fixed cost, given the volume performance, as well as to the fact that last year, it has pre-operating expenses for our new plant in Brasilia, which this year is contributing to revenue.

On the operating side, we are starting to generate benefits from our investments in the region, with efficiencies of scale and market penetration networks, further supporting this main profitability this quarter.

For Europe, results were as expected in our first full quarter of operations in Iberia, and we are on the ground moving forward on the integration plan. In terms of the balance sheet, as you know, we issued

new debt this quarter, including $800 million of notes in the U.S. institutional market, and MXN 5 billion of domestic bonds. These transactions successfully extended maturities by almost 2 years with a comfortable amortization schedule starting in 2014. Our quarter end debt to EBITDA ratio decreased to 2.9x, and we are committed to bringing that figure to our target levels in the medium-term.

Before we turn the call over to your questions, let me share with you some of our perspectives in 2012. We expect a tough first half of the year, especially given pricing on wheat and volume performance in the U.S. but the back half will show improvement while important progress will be made also on the integration.

This is a very important year in terms of BBU, and we are also counting to focus on our strategic initiatives to position ourselves as a low-cost producer as we drive sales and volume growth. Certain factors will remain uncertain, such as the commodity environment, and the U.S. consumer confidence. But I would say it has even more confidence today about our short and long-term targets. This comes from some months of visibility into the Sara Lee operations, as well as the important improvements coming out of Latin America, particularly in Brazil, Argentina, Uruguay and Panama, which are benefiting from our turnaround initiatives and all the investments we have made in the region in recent years.

It is important to mention that while the region is growing, we will continue to face challenges, given the ongoing volatility there. Overall, we expect the continuation of the trends we're seeing now, mainly volume growth in Mexico, very healthy growth in Latin America and a slow recovery in the U.S.

As we have stated before, there will be margin dilution in 2012 as a result of commodity pressures and higher cost structure of our new businesses and the integration-related expenses.

That concludes my remarks for this morning. So Delia, I believe we are now ready to take any questions.

Question and Answer

Operator
[Operator Instructions] The question is from Nikolaj Lippmann, Morgan Stanley.

Nikolaj Lippmann
A couple of questions, specifically one on Mexico, could you help us to understand the 160 basis point compression in the market? Because I look at the Mexican peso and I look at the wheat price, and I can kind of see that about a year ago, wheat prices were high and the peso was where it was and you had no pricing. So it seemed to me that you would have an easy comp and worst case scenario would come at maybe flat margins even before taking would into account the pricing that you have done over the last 12 months. So can you just give a little more color on why you get the 160 basis points gross margin compression? And also in relationship to that, the IFRS effect, how much of that is at the gross and how much is at the SG&A level? That's the first question. The second question is related to the U.S. business. If you can get any -- I understand the spend to save thing but it always comes in negotiation, but if you can give us a bit of a sense of how much more is to come. You had close to $20 million in extraordinary expenses during the acquisition, closing down 4 plants. But can you give us a bit of a sense of how much more we should expect over the course of the year? So those are the first 2 questions, I think.

Daniel Javier Servitje Montull

Good morning, Nikolaj, and I'll divide your 2 questions into 3 responses. I'll take the first part and will deal the second part of the first question to Guillermo, and we'll ask Gary Prince, the head of our U.S. operations, to talk about the second question if that's okay with you. On the first part, let me tell you that Mexico did have a, I would say, remarkable quarter in terms of our volume growth. And the margin contraction that you talked about, it's still basically to 2 factors. First one is the FX rate compared to last year and specifically on the first part of the quarter, it was quite significant. And that affects not only wheat, but basically all commodities and many of our local supplies, raw material supplies, do get indexed at the U.S. dollar rate. On the second part, the margin contraction also was affected by our hedges that we had for that quarter. We will see the pressure easing it up over the course of the year. It's gradual and it's still at the end of the day, a higher cost than the one that we had a year ago in that commodity. On the second question, on second part of the first question, Guillermo?

Guillermo Jorge Quiroz Abed
Yes, good morning, Nikolaj. I'll give you the numbers first. We estimate that the complete impact of the -- the most important impact coming perhaps from IFRS is the forfeiture and reallocation. And that would account for about half of a percentage point. And from that, I don't have a precise answer but I think that the gross margin is set at about 2/3 of that.

Nikolaj Lippmann
Daniel, if I go back to -- just a follow-up question, if I may. Using that same logic, if I just take the spot in Mexican peso for wheat now and I compare it with a year ago, I would get a difference in your favor of about 18%. So if you -- I'm assuming, as you kind of -- and hinting that you've been doing full hedging, I will get a flat number. So if using the same logic, saying ok you've been doing full hedging, then over the next 2 quarters, we would regularly get that benefit of the approximately 18% decline in wheat, which will then give me approximately, just on a like-to-like basis, 150 basis point margin expansion. Is the mathematics kind of right here?

Daniel Javier Servitje Montull
That's a fair statement. As I was saying, this is the first quarter, I would say a little bit of a second quarter, we will be facing a tougher comparison. And we will have -- we'll start getting a benefit of a reduction in our costs in the second semester basically.

Guillermo Jorge Quiroz Abed
Excuse me, Nikolaj, also taking into account the FX, if you calculate the average value of the dollar in peso terms for this quarter to the exchange rate for the first quarter of 2011, you will find that the exchange rate alone, besides all these wheat things are about 6% above last year. So the exchange rate today of course is better than in the fourth quarter of 2011. But it's about 6% higher than the first quarter of 2011.

Daniel Javier Servitje Montull
Gary, wants to make a comment on the second part.

Gary Prince
I will, Daniel. If you go back to the original premise of this deal, we had synergies of $150 million forecasted. We had costs to capture those synergies of roughly $120 million. And we had CapEx in the range of $200 million to $250 million a year. On the CapEx side, it's roughly 1.1x to 1.2x depreciation. On the cost side, we decided, due to the external environment of inflation and the cautious consumer and

the challenges at retail, to really expedite and fast forward our integration plans on numerous fronts. And the cost still remains the same in that area of, call it $100 million to $120 million, to generate roughly the same in savings. And over the course of the year, and we've announced the closure of 4 plants and we're busy on our IT integration and a number of other fronts. But over the course of the year, we will look -- we'll have further closures and restructuring going on, and those charges will unfold over the course of this year, still in that range of $100 million to $120 million.

Nikolaj Lippmann
Okay, so basically, and then we would also expect to see maybe some of the margin expansion happening. So 2013 is now looking to maybe the second half or whatever it's been, 2013 will be that much better because you should be just fast forwarding out of this?

Gary Prince
Exactly. It's really a year also of 2 halves here. And the first half, we do have headwinds and we certainly expect movement in the second half. And I'm very mindful at the end of the day that on the numerics front, we had a tough quarter, no doubt, in the U.S. And whether it was inflation or accounting changes of IFRS, the purchase accounting, and while don't think we stand alone on the tough operating environment, that said, the numbers really don't reflect our teams work and they are busy, in my judgment, working on the right things. We have huge opportunity to become a much more productive company, and that's really what the premise of this transaction was all about, is using the combined scale. And the opportunity that we have is enormous in many regions of the country.

Daniel Javier Servitje Montull
A couple of additional comments on this integration Nikolaj. I certainly see that this year, it's the toughest year and the one that we're probably suffering the most from these integration expenses. But we'll still have integration-related work in the coming 2 years, probably a lesser impact. And we'll start reaping obviously the benefits of the integration as we launched in the large part this year. So I just want to mention that. And regarding these purchasing price allocation, Guillermo, you also have some comments in that regard?

Guillermo Jorge Quiroz Abed
Yes, I just wanted to mention that the IFRS is -- I'm sorry, BBU, is being impacted by basically 2 changes. One is a IFRS thing, which is impacting them because the value of the fixed asset was recalculated for the initial, the opening IFRS balance and that is going to be a permanent change, as long as those are the ones that we follow, and the second part is purchasing accounting when -- if you take a look to the open balance of basically Sara Lee, the Sara Lee Corporation in this case, you will find that some of the price really in fact was assigned to an account called customer relationship, which has to be amortized in a period of 18 years. So that would mean an impact of about $7 million per quarter through a permanent charge of this following 18 years. Of course, this is a non-cash charge because it's only amortization of that intangible asset.

Operator
The next question is from Alan Alanis, JPMorgan.

Alan Alanis
I actually have 3 questions. The first one has to do with the comment you made, Daniel, regarding strong volumes in Mexico. What's the reason why not to take in more pricing in the context of that strong

volumes and what would be the pricing outlook? How are you thinking about pricing in Mexico for the next 12, 18 months? That would be my first question.

Daniel Javier Servitje Montull
Well, on that issue, I would say that, we had trouble recovering our volumes from the influenza crisis. And we're now quite optimistic about our volume outlook in Mexico. We have price correctly I would say we have the right margins for our business in Mexico, which we continue to look for cost-saving opportunities. But from the price, I would say that we have the right balance and we want to stick with what we have in our pricing horizon. And we're basically focusing on taking all the opportunities that we can have on growing our volume, growing our shares. And that will also have an effect on the net the operating profit eventually, finally. But we're quite, I would say, quite optimistic of our performance in Mexico.

Alan Alanis
Got it. That's understood. The second question just really quickly is more for Gary. Could you give us an update on what the competitive environment in the United States and what the latest and greatest with IBC and the Hostess Brands?

Gary Prince
Alan, good morning. Actually, you probably know as much about IBC and Hostess as I do. They continue to be in the news an awful lot due to their bankruptcy and they've had numerous court proceedings. They continue to compete in the marketplace as usual. Operating as usual in the marketplace. And I really can't comment a lot about Hostess. I think they still have a sizable footprint. They have issues that they're trying to deal with, with their labor, with their overall cost structure and...

Alan Alanis
Are they bringing distortions in terms of very aggressive pricing competition like they've had in the past, making it harder to take pricing in the U.S. market?

Gary Prince
We have pockets of that, but I don't think it's widespread. We have pockets only.

Alan Alanis
And if I can ask the same question I asked Daniel, but for the U.S., Gary, regarding pricing, what are your views in terms of what's the pricing of the industry outlook for the next 12 to 18 months?

Gary Prince
We certainly priced into inflation over the last 18 months, and quite aggressively. And last year, I think, was a good example of that. We had $200 million of inflation last year, and we mitigated it through our price promotion strategies. And I feel the same way about it this year. The first quarter recognizing clearly our toughest quarter. And we chose not to price into it because of the size, the size and the timing of it. But I see a more balanced forward-look here over the coming -- certainly the back half and into next year and if we have to price at some point, we certainly will. But it's something we look out on a regular basis in our reviews, market-by-market and category-by-category. I think we navigated it really well last year and I look to similar results, frankly, this year. And I'm going to stress again the first quarter, our most difficult by far.

Alan Alanis
And my last question for Daniel or for Guillermo is when you think the acquisition would be earnings-accretive for Grupo Bimbo, the Sara Lee acquisition of course?

Guillermo Jorge Quiroz Abed
Well, I think that question is very much related to Gary's comments. We are moving ahead faster than we thought. But we are expecting, let's say, on our financial suggestions to be about neutral from here to the second half of 2012 and start being accretive. For 2013, most of the work should have been done and the benefits should start coming in.

Operator
The next question is from Robert Ford, Bank of America, Merrill Lynch.

Robert Erick Ford Aguilar
I was curious if you could you remind us of the timeline for the rollout of Sara Lee in the East Coast, please. And I just had a follow-up.

Gary Prince
Good morning, Robert. It's Gary. The Sara Lee brand has begun to be rolled out into the northeast. It's now in the northern part, New England, New York and in the Atlantic region and it'll be in New York shortly. So we have fully rolled out Sara Lee into the Northeast some time here within the next month.

Robert Erick Ford Aguilar
Can you give us a sense of how it's doing so far in those initial market places?

Gary Prince
We're very optimistic and it's meeting our expectations in the early rollout stages. I think it allows us to mix out in the Northeast. It gives us a national footprint. We have a few more rollouts in the Southeast to do in the Ohio-Pittsburgh area. But we anticipate getting those done later this year. And we'll have another national brand heading towards $1 billion when we do that.

Robert Erick Ford Aguilar
I was looking at some of the supermarket scanner data and at least what I'm sampling and the way I put it together, it appears as if private label is growing share and some of the more fragmented bakers in the country are growing share. And the larger bakers, again in the samples that I'm looking at, seem to be losing share, right? And not necessarily pushing through pricing. And I was curious, it seems to be consistent with your comment in terms of being a little bit more -- I can't remember the word that you used, but balance, I guess, in the second half in terms of price. But I'm wondering if you're seeing the same thing and what you attribute that to. Is it simply just some of the big guys hedged positions in wheat and are a little bit more expensive or is there something else that's going on?

Gary Prince
I think some bakers are acting opportunistically. I don't think that anyone has a real cost advantage on inflation with wheat. I'm mindful that in our footprint, we have regional brands and national brands. And Robert, I think that our regional brands -- first of all, we have brands that have rich histories in the regions they grew up in and they have tremendous potential along with the national brands that we have in this combination. So we have lots to work with. We're really in the early stages. It takes months to get things

organized in the field with our customers. We have long lead times for instance on listings and changes, that kind of thing. So we're really in the front end of getting positioned to get those brands working harder for us, pretty much in every region of the country. So whether it's a regional brand of Mrs. Bairds or Rainbo or Colonial, or Stroehmann in the Northeast, along with Sara Lee on a national basis, we have lots to work with and we're quite bullish about our growth potential.

Robert Erick Ford Aguilar
Okay, and is the combination or the integration having any impact on the preexisting business? I mean is it just the demands and challenges of trying to integrate the new business maybe resulting in an opportunity in your preexisting marketplaces?

Gary Prince
Our #1 priority really is our IT integration. We're making great progress on that front. We will be on one ERP platform midyear. That will be a significant enabler to further fast forward the integration, particularly on the supply side. Also in our order billing system, that starts in July. And while it will take some time, we have our priorities set as to the rollout of that integration. And it will be a huge enabler for the back half of this year and into next year. I'd also say that on the IT front, IT will be overall a big enabler as we get on one platform. And it’s our #1 priority.

Daniel Javier Servitje Montull
Just one additional comment on this one. My view is that I would think that we're more bullish on all our brands with the integration of the 2 former companies than we were before. So even though there are a lot of things that we're working on to get us to the integration process at the end, the brands and the route structure will be stronger as a result of this combination definitely.

Operator
[Operator Instructions] The next question is from José Yordán, Deutsche Bank.

José Juan Yordán
I was startled by a couple of your comments before, the first one saying that you would be completing the required divestitures by the end of the year and I thought the DOJ has set a deadline that was either this month or has passed already. And certainly in your meeting in New York a few weeks ago, that's the sense we got. So if you could give us any color as to the progress of the divestitures and presumably why they're slipping by into more months. And then the second one, you said your Iberian results were as expected. But they appear to have been worse than what the initial results were in the fourth quarter, et cetera. Perhaps because of seasonality which we're not familiar with yet. But if you can talk about what your expeditions are for Iberia this year certainly the headlines on Spain are not good these days on the economy, et cetera. And any idea of how what your goals are for that profitability to return to the black in that new territory would be helpful.

Daniel Javier Servitje Montull
Gary, do you want to cover the first part?

Gary Prince
I will. Good morning, Jose. On to the divestiture front, we do have properties. All the deals that we have on the properties, they're sitting with the government today for our final approval. They're in that process. It takes a little bit time. It's taking longer, frankly, than we had anticipated. But we expect approval on 2 of

those properties within a couple of days. And the other properties shortly thereafter. And then we will get into the executional phase. But consistent with what I had said in New York, albeit the approval is taking a little longer as it goes through the different layers of the government. But I anticipate it within days.

José Juan Yordán
And I guess you'll be making announcements as to proceeds and buyers on all that stuff. Or will that be deemed not material?

Gary Prince
They're not material to the total, but we will.

Daniel Javier Servitje Montull
On the second question, Jose, let me tell you that on Iberia, we're finding basically a good team. We're undergoing a thorough integration process and as in the case of Sara Lee that Gary mentioned we're focused on the IT transfer from the Sara Lee operation to our ERP. And we're also transferring the change or doing the change in the distribution structure that they had before. This was a project that Sara Lee planned and started executing. And basically we are in the process of converting a large part of the sales force in Spain as to what is called a dependent operator. And this process has been delayed a little bit on some provinces in Spain due to the requirements that each province has. And that is, I would say, the difference from what we had been expecting on our budget. But otherwise, we're quite pleased with the progress that we've made in Iberia. And I would say that even though the economy's in not a very good mood, we're growing on our volume there. And we have good plans underway to continue to have, I would say, a good standing in the market. But this year is going to be a difficult year due to basically integration costs and the conversion from the sale system to the new way -- to the new systems that at the end will have sizable benefits for the company.

José Juan Yordán
Great, can you give us any idea of where you expect the year based on all these comments?

Daniel Javier Servitje Montull
Basically, we're shooting for a breakeven year without any integration expenses or charges. So if you do those, net-net, we'll have a year with a loss in Iberia.

José Juan Yordán
And just to clarify that, is that the EBITDA line, or the EBIT line or what line?

Guillermo Jorge Quiroz Abed
It's at the EBIT line. So we're shooting for a positive EBITDA number there.

Operator
Next question is from Miguel Mayorga, GBM.

Miguel Mayorga
My question is about your CapEx. You gave us a period guidance of about $300 million. And as of today, you only have executed around $80 million or 11% of this year. Do you still expect to execute all of the budget or do you think maybe this year should be reduced?

Daniel Javier Servitje Montull
Yes, we think that we will be around that number. It is a bit lower than what we had originally mentioned. And the issue here is basically, we had a problem with I would say one of the largest oven makers in the world, which went bankrupt. And that has delayed the date for many of our largest new plants or new ovens, new lines that we had booked with this manufacturer and that were critical to complete the major expansion. So there's a delay. At the end of the day, we will recover from it. That's the reason for us having fairly a little bit lower number on this CapEx projection.

Operator
Your next question is from Marisa Martinez [ph], GBM.

Unknown Analyst
My question is regarding the recent downwards in wheat prices. What is your outlook on the matter and what hedge positions do you have for this year?

Daniel Javier Servitje Montull
The wheat certainly is now at a lower level. But it's still volatile and it will be that way. As we had mentioned before we have a wheat coverage or hedges ranging anywhere from 4 to 9 months on the different markets. We don't necessarily have a global hedging position. It changes somewhat between the different markets. And we think that -- I mean, we're seeing what you were seeing and at the end of the day, wheat is just very important for us. But what we are trying to do, as we've mentioned before, is basically to have a view on our cost that allows us to react in the market accordingly. And it's, as I said, not necessarily a global date that we have for hedges. Those changes is somewhat between the different regions.

Operator
[Operator Instructions] A question from Christian Nunez [ph], JPMorgan.

Unknown Analyst
I have to admit I was a little surprised by your recent debt issuance during this quarter. The impression I got from the meeting we had a few weeks back in New York that you were sort of set on deleveraging. And your debt amortization schedule was quite comfortable. So would you please provide some more color on the purpose of this new debt?

Guillermo Jorge Quiroz Abed
Sure. The purpose of the issuance, it was a debt-neutral play. We consider that it was a good move in terms of our capital structure to term out and to ask what we consider overall reasonable cost. And understanding the fact that wheat enhanced our average life and basically more than 2 years for our financial liability, we still have the room for deleveraging. And we'll continue to do so as we have mentioned many times now. Actually, during the quarter, we reduced our debt -- we prepaid debt for more than MXN 2 billion and we will continue to do so. You will be noticing that in the continuing months at a very regular basis and that's very much. And we'd like to consider that it was to take advantage of the of the overall level of interest rates. Debt neutral operation that we consider to be efficient for the capital structure of the company.

Operator

This concludes the question-and-answer session at this time. I would like to turn the floor back to the Grupo Bimbo for any closing remarks.

Daniel Javier Servitje Montull
Well, thank you, all, for your time and interest today, and please do not hesitate to contact us with any further comments or questions you may have. And we look forward to speaking with you soon. Thank you very much.

Operator
Thank you. This concludes today's presentation. You may disconnect your line at this time, and have a nice day.

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